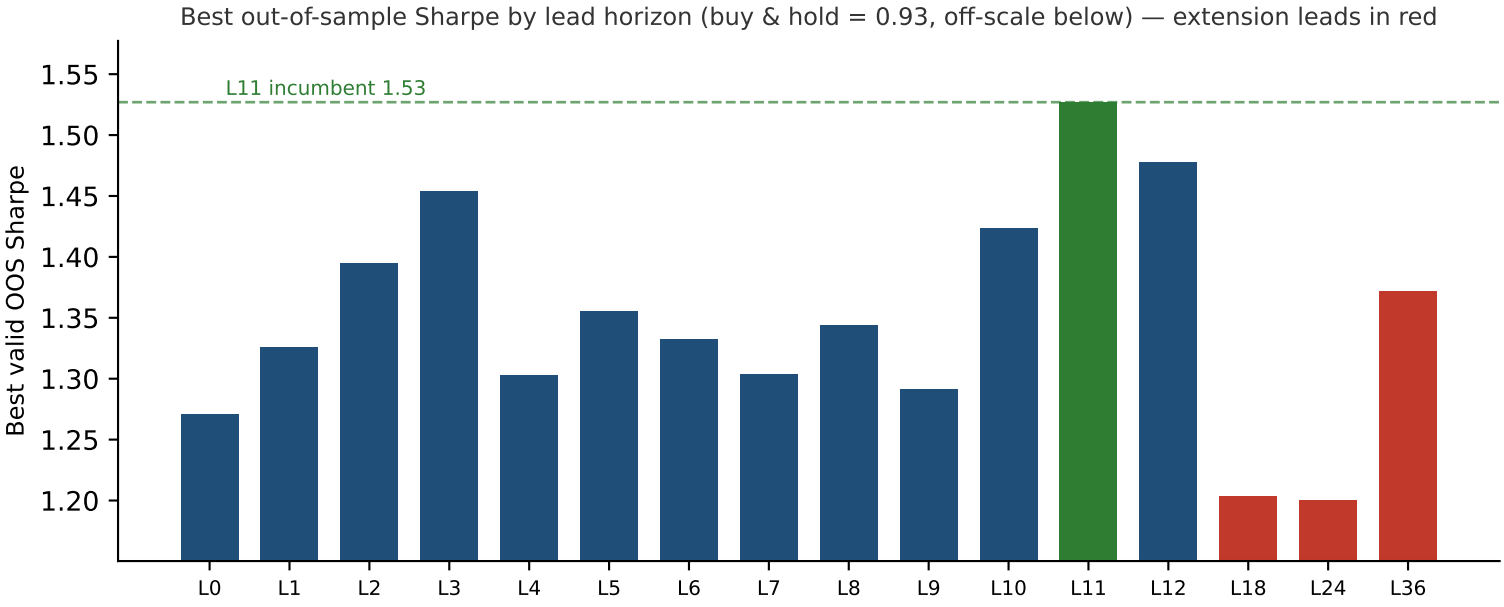
PILOT 260717 — Lead-Grid Ceiling Test

Does extending the monthly lead grid beyond 12 months surface a signal we are missing?

Pair: Industrial Production → Petroleum Inventories (petrol_inv_spy) | Lesandro (Lead) | 2026-07-17

VERDICT — the extension surfaces nothing.

The winner is unchanged at L11 (OOS Sharpe 1.53), and no lead beyond L12 beats it. The stakeholder deck's claim of a 24–36 month petroleum lead lands on the two weakest horizons on the grid (L24 is the single worst). The L0–12 ceiling is empirically justified for this pair.



Key findings

- Global winner unchanged: L11, OOS Sharpe 1.53 (petrol_level_z60 / T2_roll_p25 / P1_long_cash_pro / LB36).
- Extension horizons underperform: L18 1.20, L24 1.20 (worst on grid), L36 1.37 — all below L11 and mid-grid.
- The long-lead top entries are degenerate, not discoveries: large clusters of combos sit exactly at the buy-and-hold Sharpe 0.93 (L18: 28, L24: 20, L36: 20) — always-invested rules collapsing to benchmark, plus P2-on-binary threshold-insensitive ties. On a flat leaderboard these read as multiple-testing noise.
- Statistical hurdle: nothing beyond L12 approaches the incumbent, so the t > 3.0 (Harvey-Liu-Zhu) hurdle never engages.

Method

- Extended the grid to L0–12 + {18, 24, 36} (added, not replaced, so L11 stays reachable and any long-lead win is unambiguous). Re-scored the full tournament with production ECON-T4 deployable scoring (undefined position → cash).
- 19,712 strategy combinations (13,583 valid); OOS window 2017-08 to 2025-09 (98 months). L36 retains full OOS — no window starvation. Winner and production tournament were left untouched (ECON-T5 immutability respected).

Caveat & scope

- This tests the TRADABLE long lead (Sharpe). A complete test of the 24–36mo claim would also check raw lead-lag predictability (correlation / Granger) at those horizons, which the tournament does not isolate.
- Petroleum was the deck's strongest a-priori long-lead candidate. One pair is not dispositive; the grid-SHAPE question (dense vs sparse) is untested. Evidence for issue #23. A second pair (indpro_xlp) is under test.